

Quantitative Analysis Should Be Supplemented by Qualitative Considerations. In studying earnings records an important principle of security analysis must be borne in mind:

Quantitative data are useful only to the extent that they are supported by a qualitative survey of the enterprise.

In order for a company's business to be regarded as reasonably stable, it does not suffice that the past record should show stability. The nature of the undertaking, considered apart from any figures, must be such as to indicate an inherent permanence of earning power. The importance of this additional criterion was well illustrated by the case of the Studebaker Corporation which was used as an example in our discussion of qualitative factors in analysis Chap. 2. It is possible, on the other hand, that there may be considerable variation in yearly earnings, but there is a reasonable basis nevertheless for taking the average as a rough index at least of future performance. In 1934 we cited United States Steel Corporation as a leading case in point. The text of our discussion was as follows:

The annual earnings for 1923–1932 are given below.

United States Steel Corporation, 1923–1932

Year	Earnings per share of common*	Output of finished steel, tons	% of total output of country	Net per ton before deprec.
1932	\$11.08(d)	3,591,000	34.4	\$3.54(d)
1931	1.40(d)	7,196,000	37.5	5.71
1930	9.12	11,609,000	39.3	13.10
1929	21.19	15,303,000	37.3	16.90
1928	12.50	13,972,000	37.1	13.83
1927	8.81	12,979,000	39.5	12.66
1926	12.85	14,334,000	40.4	13.89
1925	9.19	13,271,000	39.7	12.49
1924	8.41	11,723,000	41.7	13.05
1923	11.73	14,721,000	44.2	12.20
10-year average	\$ 8.13	11,870,000	39.1	11.03

* Adjusted for changes in capitalization.